

System Change Request Case #1359 Cash Accountability System (CAS) Re-Design

Operational, Audit, and Cost Problem Statement

The Agency requires standardized, system-driven business processes to accurately identify, record, and track all collections and disbursements transmitted to the ERP and ultimately reported to the U.S. Treasury. These processes are essential for reconciling cash activity and ensuring the accuracy of the Agency's General Ledger and its Fund Balance with Treasury (FBwT).

ERP records the financial impact of all the agencies General Fund transactions, including cash activity, while the Cash Accountability System (CAS) consolidates and transmits disbursing transactions from multiple systems to Treasury. Several entitlement and billing systems—such as ADS, CPS, DTS, ODS, and IPAC—also generate cash transactions that flow into ERP, with CAS responsible for aggregating their disbursement and collection data into a single Treasury-facing report.

Currently, significant process and system gaps hinder the Agency's ability to timely and accurately record cash transactions originating from external disbursing systems. As a result, the Agency lacks a reliable, consolidated, and real-time view of its cash position and FBwT balances.

Operational

Agency Enterprise Impact

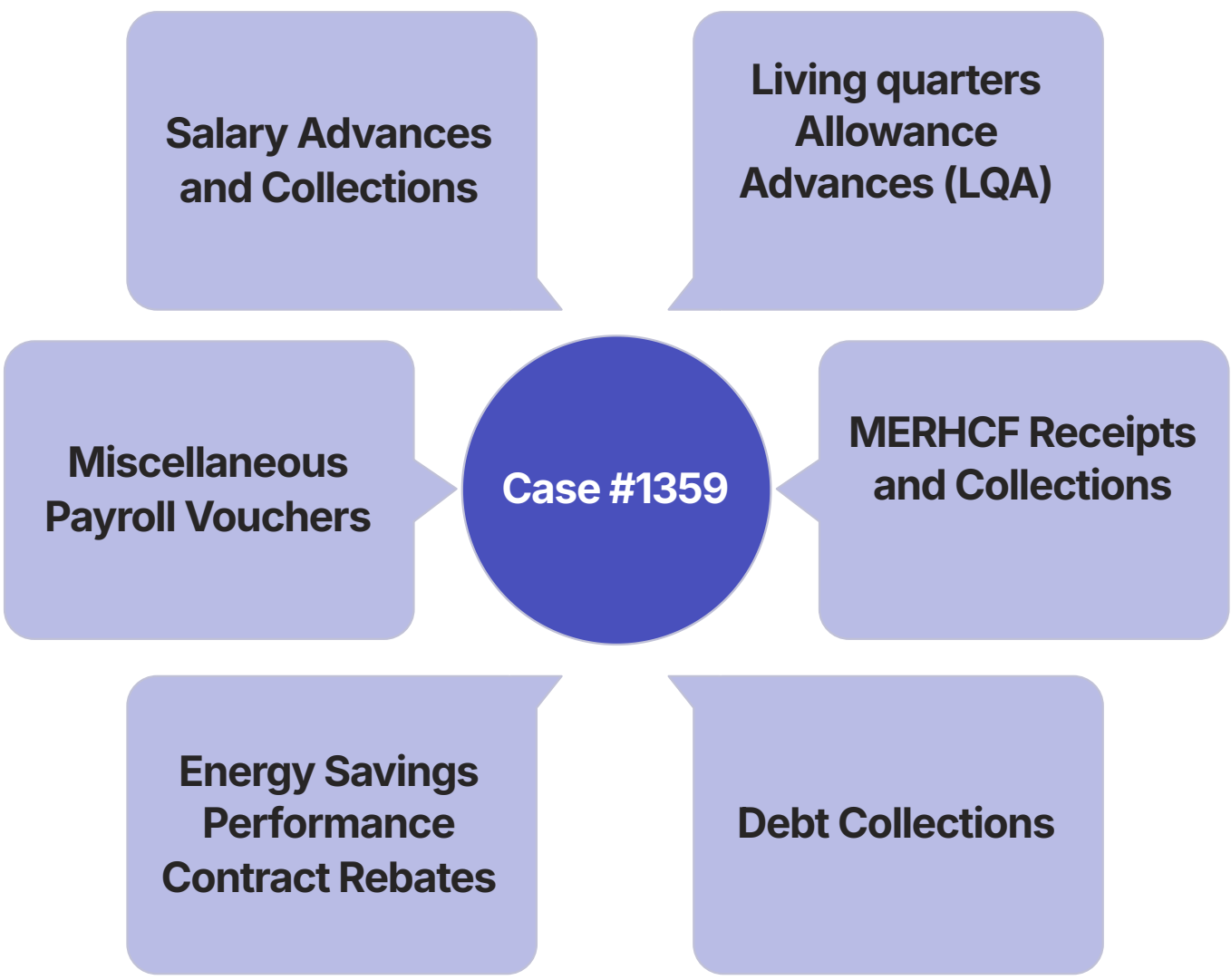
The CAS file transmitted to ERP is not compliant with the Chart of Accounts (COA) 10.0 Maintenance Release (MR) SFIS attribute structure mandated by Oversight Office. The Agency will need to coordinate with the CAS PMO to ensure the interface file is updated to meet SFIS 10.0 requirements. One of the key updates in the SFIS 10.0 release involves changes to the fund master data structure. Because ERP is already SFIS 10.0 compliant, the receipt of non-compliant CAS data generates errors that force ERP to revert master data to a pre-SFIS 10.0 configuration.

Two existing GATE cases address these issues.

- **GATE Case #1207 – SFIS 10 MR Phase I** requests the upgrade of all ERP interfaces to SFIS 10.0 MR.
- **GATE Case #1361 – SFIS 10 MR Phase II** proposes updates to how specific SFIS attributes are populated. For example, the SFIS attribute alignment file requires BA, BSA, BLI, and BALI values for 1010.0120 FBwT Disbursements, but requires these fields to remain blank for 1010.0110 Collections.

The enhancements outlined in both cases should be consolidated into the broader requirements defined in **GATE Case #1359**.

Oversight Office issued a policy memorandum titled *Fiscal Year 2016 Chart of Accounts Standard Financial Information Structure 10.0 Maintenance Release Attribute Alignment File*, which establishes mandatory compliance with SFIS 10.0 data and configuration standards. Adhering to these requirements will improve interoperability between accounting systems and Treasury, enhance the accuracy of financial data and reporting, and reduce the volume of manual and automated journal vouchers—supporting the Agency’s progress toward audit readiness.



Business Process Changes

The consolidated report submitted to Treasury must include all cash disbursement and collection activity occurring within the Agency General Fund (AGF). However, the Agency currently lacks an automated process to record cash transactions associated with several miscellaneous business activities. The existing method for transferring these transactions from CAS to ERP does not provide sufficient visibility or traceability, resulting in the Agency’s inability to reliably identify, track, and reconcile these items.

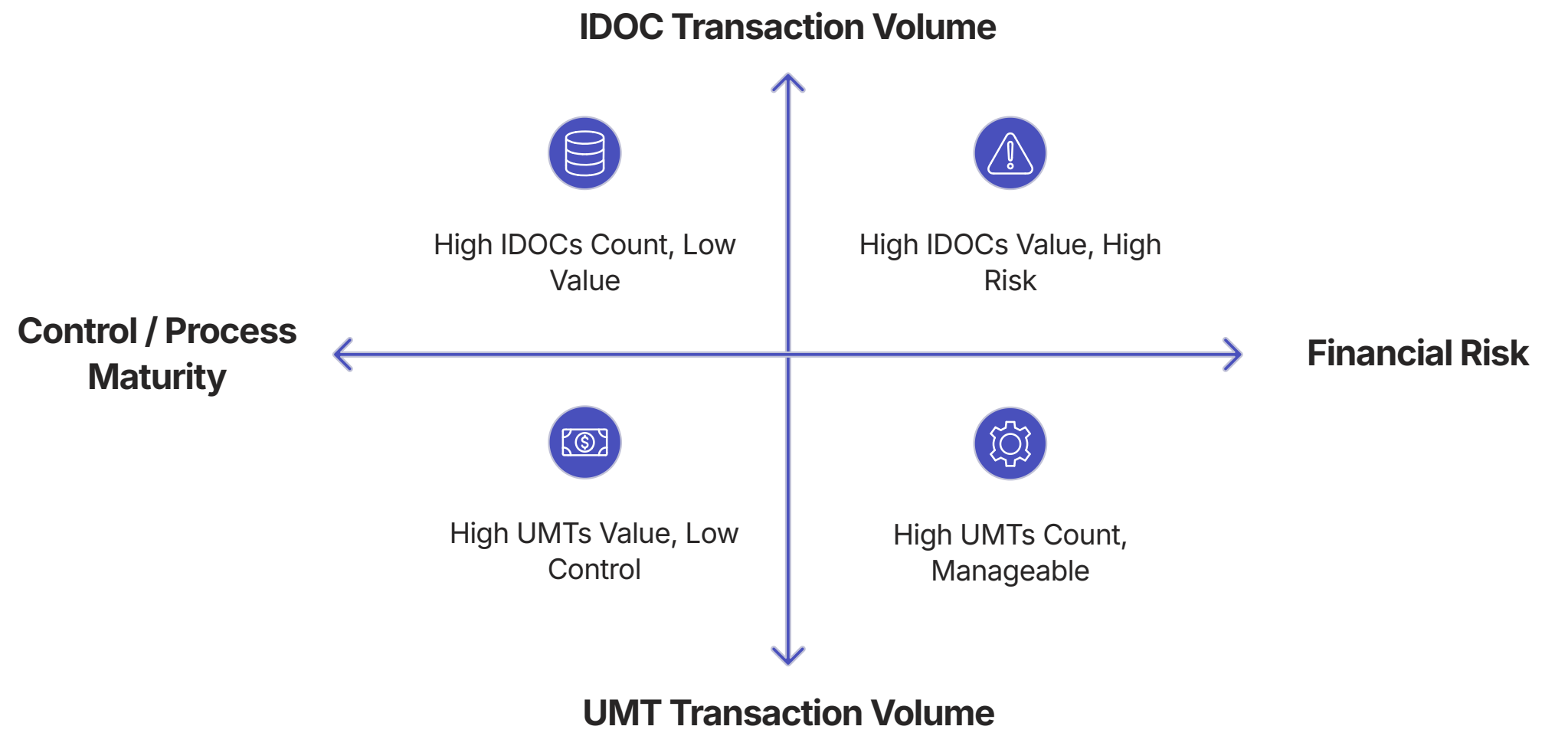
At present, the following activities are manually entered into ERP:

- Salary advances and collections
- Living Quarters Allowance (LQA) advances
- Miscellaneous payroll vouchers
- Energy Savings Performance Contract rebates
- MERHCF receipts and collections
- Debt collections
- PAX travel
- EFT returns
- State Department vouchers with FLUX
- TDP Loss Breakage (bulk billing)
- Canceling-year IDOCs/UMTs

To address these gaps, the Agency must design and implement standardized business processes that support the automated ingestion, classification, and posting of these collection and disbursement activities. Automating these transactions will strengthen cash accountability, improve reconciliation accuracy, and enhance the completeness of Treasury reporting.

Transactional Count, Volume and Dollar Value

As of June 2017, CAS failed IDOCs total 169K transactions with absolute value of \$1.5B. These IDOCs represent results in-transit and undistributed to the ERP for financial reporting. UMTs total 150K transactions with absolute value of \$2.5B.



Audit

Current State Analysis

A significant number of ERP disbursement and collection vouchers are forced to post as UMTs and are later cleared through the recycle program. These UMTs occur primarily because ERP experiences connection time-out errors when attempting to post vouchers to the corresponding CAS disbursing record. The time-out safeguard is designed to prevent individual processing requests from consuming excessive system resources; however, it also results in incomplete postings and an increased volume of UMTs. Reducing the number of vouchers routed to UMT status is expected to improve recycle program performance and decrease the backlog of unresolved errors.

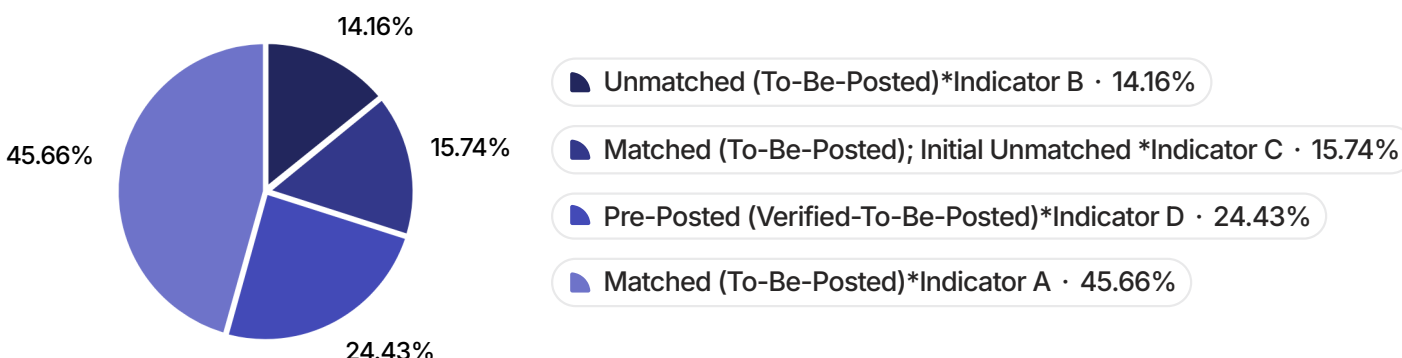
A related interface issue arises when transactions initially classified as UMTs are later matched to their corresponding ERP vouchers. Once the voucher is identified, the transaction must be reclassified from UMT to a matched status. These reclassified transactions, along with the required adjustment record (e.g., post-1081 adjustment), are not being transmitted back to CAS. As a result, CAS lacks visibility into the current status of outstanding liabilities and the actual disbursements made, creating discrepancies in the Agency's cash accountability.

This issue directly affects compliance with the IG's findings in Memorandum 2017-069, *Ineffective Fund Balance with Treasury Reconciliation Process for Agency General Fund*. The IG recommended that the Agency reengineer the GF FBWT reconciliation process to:

- Identify, age, assign, and explain differences within 10 workdays after month-end
- Research and resolve all differences within 60 days
- Document business rules to support system-generated adjustments
- Ensure all adjustments are supported with transaction-level detail
- Implement system changes to standardize posting logic across non-legacy accounting systems
- Establish a methodology to standardize data from legacy systems
- Enable system functionality that demonstrates posting logic consistently across all non-legacy systems

Error and Re-Work Reduction

The CAS to ERP interface creates an internal reconciliation table between the specified CAS disbursing records to the ERP voucher. This internal interface program creates a table known as the CAS ID. This file/table provides status indicators that reflect the outcomes of the reconciliation activities depicted below for FY17:



The interface program relies on several key reference indicators to determine how each transaction should be processed. To match incoming CAS transactions to the appropriate ERP voucher, the interface uses one or more of the following reference numbers:

- Acquisition Request Number (ARN)
- Vendor Invoice Number
- MILSTRIP Number
- Travel Order Number
- Reimbursable Bill Number
- Document/Record Reference Number

If the interface cannot match a transaction using these reference numbers—or if a fund amount mismatch is detected—the CAS ID program classifies the transaction as an unmatched financial document. These unmatched items are inserted into a custom 1081 table that records the reason for the mismatch. All unmatched transactions are also added to a dedicated UMT table, which feeds the recycle program. The recycle program supports both automated and manual reconciliation, enabling ERP personnel to research and resolve outstanding unmatched transactions.

Another challenge in reconciling CAS and ERP data is that the CAS ID table does not include the IDOC number. The IDOC number is a temporary document identifier assigned to all transactions attempting to post in ERP. Failed IDOCs (Status 51) represent disbursement or collection vouchers that were not successfully recorded against cash accounts. In addition to assigning an IDOC number, the interface program applies a status code and corresponding status description to each transaction. These codes provide researchers with insight into the nature of the issue and any required corrective action.

Status Code	Description	Action Required
51	IDOC in suspended status; not recorded in financial system	Pull IDOC to get additional info to resolve the problem
53	IDOC posted successfully; results reflected in ERP	No action required
64	Transaction not processed, waiting for batch job	No action required
68	IDOC not processed; marked for no further processing	More information needed; usually no action required

Finally, the CAS-to-ERP interface does not prevent scenarios in which a vendor locks a funds commitment document and subsequently creates a duplicate invoice. This issue typically occurs when multiple users attempt to modify the same document simultaneously.

The current workaround requires the interface to examine all purchase order documents for attempted user changes that share specific data elements—such as vendor name and purchase order amount. When the interface detects changes that meet these criteria, it automatically locks the invoice to prevent concurrent edits by multiple users. While this control mitigates duplicate invoice creation, it is a reactive measure and does not fully address the underlying interface and process deficiencies.

NFRs

Redesigning the CAS interface as outlined above will help the Agency address NFR T-2017-05, *Unsupported Departmental Reporting Adjustment*, which identifies unsupported adjustments appearing in the Agency's Fund Balance with Treasury Tool (AFT) at the time they are recorded in Departmental Reporting. The NFR recommends that the Agency identify the root causes of recurring FBWT reconciliation differences, resolve discrepancies prior to reporting deadlines, and establish controls to prevent future variances.

Implementing the recommended interface enhancements will also support remediation of NFR F-2017-10, *Departmental JV Management Review*. This NFR advises the Agency to collaborate with responsible system owners to correct systemic issues that trigger failed edit checks and to implement improvements within source general ledger systems feeding Departmental Reporting. Strengthening data quality and ensuring complete, accurate, and detailed financial information will reduce the volume of journal vouchers required and improve the reliability of downstream reporting.

Cost

Process Efficiencies

Reducing the volume of UMTs requiring manual intervention will allow the Agency to focus resources on identifying and resolving the root causes of truly unknown UMTs. Increasing automation within the UMT process will also improve operational efficiency and reduce dependency on manual research and correction.

Incorporating the IDOC status code into the CAS ID table would further enhance transparency by enabling researchers to quickly assess the status and disposition of all transactions within the Agency's FBwT population. Accelerating the transition of transactions from unmatched to matched status—combined with strengthened business processes for resolving IDOCs—will improve the accuracy and completeness of FBwT reporting and strengthen overall cash accountability.

Cost Avoidance

If we can implement new business processes to automate the process of correcting the 11 known miscellaneous manual business process activities taking place within the CAS to ERP interface, the Agency could re-prioritize existing personnel thus generating more value for the Agency services paid. The Agency could also reduce the number of month-end employees working to correct IDOC errors and UMT's thusly transitioning those employees to other areas of services.